# LOAN AGREEMENT

**Dated as of October 1, 2019**

**CEDAR GROVE MARKETPLACE LLC, Borrower**
**and**
**TRISTATE CAPITAL BANK, Lender**

**Original Loan Amount: $12,500,000**

## RECITALS

Borrower owns Cedar Grove Marketplace, a neighborhood retail shopping center. Lender has agreed to make a mortgage loan secured by the Property, the leases and rents, and related collateral, subject to the terms of this Agreement and the other Loan Documents.

## ARTICLE I - DEFINITIONS

**1.1 Annual Debt Service.** Scheduled principal and interest payable on the Loan for the applicable twelve-month period, determined by Lender using the actual rate and amortization then applicable.

**1.2 Debt Service Coverage Ratio.** The ratio obtained by dividing Net Operating Income by Annual Debt Service.

**1.3 Net Operating Income.** Gross rents and other recurring property income actually received for the applicable trailing twelve-month period, less Operating Expenses, each as reasonably determined by Lender under Exhibit B.

**1.4 Operating Expenses.** All ordinary and necessary expenses of operating and maintaining the Property, including taxes, insurance, utilities, repairs, maintenance, management fees and recurring reserves. Depreciation, amortization and debt service are excluded. Non-recurring or discretionary items may be excluded only to the extent accepted by Lender in its reasonable discretion.

**1.5 Permitted Debt.** The Loan; ordinary-course trade payables not more than sixty days past due; tenant security deposits; and other indebtedness expressly approved in writing by Lender.

## ARTICLE II - LOAN; INTEREST; PAYMENTS

**2.1 Loan.** Lender made a term loan in the original principal amount of $12,500,000 evidenced by Borrower's promissory note.

**2.2 Interest.** The outstanding principal bears interest at a fixed rate of 5.45% per annum, calculated as provided in the Note.

**2.3 Amortization and Maturity.** Borrower shall make monthly principal and interest payments based on a twenty-five-year amortization schedule. All outstanding principal, accrued interest and other sums are due September 30, 2026.

**2.4 Prepayment.** Prepayment is permitted subject to the terms, notice requirements and any applicable premium stated in the Note.

## ARTICLE III - COLLATERAL AND SECURITY

**3.1 Mortgage.** The Loan is secured by a first-priority mortgage or deed of trust encumbering the Property, subject only to permitted exceptions.

**3.2 Assignment of Leases and Rents.** Borrower assigns to Lender all leases, rents and other income as additional security, subject to Borrower's license to collect rents while no Event of Default exists.

**3.3 UCC Collateral.** Borrower grants a security interest in fixtures, accounts, contract rights, deposit accounts and other personal property associated with the Property.

## ARTICLE IV - REPRESENTATIONS AND WARRANTIES

**4.1 Organization.** Borrower is a duly formed Texas limited liability company in good standing and has authority to execute the Loan Documents.

**4.2 Title and Leases.** Borrower owns the Property and, to Borrower's knowledge, the rent roll delivered at closing accurately identifies material leases then in effect.

**4.3 Financial Information.** Financial statements and other information delivered to Lender do not, to Borrower's knowledge, contain a material misstatement or omit a material fact necessary to make the information not misleading.

**4.4 No Other Debt.** Except for Permitted Debt, Borrower has no indebtedness secured by or materially affecting the Property.

## ARTICLE V - AFFIRMATIVE COVENANTS

**5.1 Property Operations.** Borrower shall operate and maintain the Property in a commercially reasonable manner, keep it in good repair, pay taxes and maintain insurance.

**5.2 Leases.** Borrower shall perform landlord obligations under material leases and shall not terminate, materially modify or accept surrender of an anchor lease without Lender's prior written consent, except as expressly permitted by approved leasing parameters.

**5.3 Books and Records.** Borrower shall maintain complete books, rent rolls, leases, bank records and supporting documentation and permit Lender reasonable inspection.

**5.4 Notice.** Borrower shall promptly notify Lender of any material tenant default, material casualty, litigation, governmental proceeding, or event that constitutes or could become an Event of Default.

## ARTICLE VI - NEGATIVE COVENANTS

**6.1 Additional Debt.** Borrower shall not incur, assume or permit to exist indebtedness other than Permitted Debt without Lender's prior written consent.

**6.2 Liens.** Borrower shall not create or permit liens against the Property other than permitted liens.

**6.3 Transfers.** Borrower shall not transfer the Property or controlling ownership interests except as expressly permitted.

**6.4 Distributions.** Following an Event of Default or while a required reserve or cash-management trigger exists, Borrower shall not make distributions except as approved by Lender.

## ARTICLE VII - FINANCIAL REPORTING AND COVENANTS

**7.1 Annual Reporting.** Within 120 days after each calendar year end, Borrower shall deliver a balance sheet, income statement, property operating statement and current rent roll, certified by an authorized officer.

**7.2 Quarterly Reporting.** Upon Lender's request, and during any period in which DSCR is below 1.25x, Borrower shall deliver quarterly operating statements and rent rolls within 30 days after quarter end.

**7.3 Compliance Certificate.** With each annual financial package, and at such other times reasonably requested, Borrower shall deliver a Compliance Certificate showing the calculation of DSCR and certifying covenant compliance.

**7.4 Minimum DSCR.** Borrower shall maintain a Debt Service Coverage Ratio of not less than 1.25 to 1.00, tested on a trailing-twelve-month basis. The calculation is subject to Exhibit B and Lender's reasonable determination.

**7.5 Supporting Evidence.** Lender may require backup documents supporting revenue, expenses, add-backs, reserves and debt service. Borrower's classification of an item for accounting purposes does not bind Lender's covenant calculation.

## ARTICLE VIII - EVENTS OF DEFAULT AND REMEDIES

**8.1 Payment Default.** Failure to pay principal, interest or other monetary obligations when due, subject to any expressly stated grace period, constitutes an Event of Default.

**8.2 Covenant Default.** Failure to perform a covenant constitutes an Event of Default after applicable notice and cure periods. A DSCR shortfall is subject to Lender review and any cure rights expressly provided in the Loan Documents.

**8.3 Misrepresentation.** A material representation that was materially false when made constitutes an Event of Default.

**8.4 Remedies.** After an Event of Default, Lender may accelerate the Loan, enforce collateral rights, collect rents, require cash management and exercise other remedies available under the Loan Documents and law.

## ARTICLE IX - CASH MANAGEMENT AND RESERVES

**9.1 Operating Account.** Borrower shall maintain property operating accounts acceptable to Lender and deposit Property revenues as required by Lender.

**9.2 Reserves.** Lender may require reasonable tax, insurance, capital, tenant-improvement and leasing-commission reserves based on the Property's condition, leasing profile and risk.

**9.3 Cash Management Trigger.** A continuing DSCR deficiency, material tenant event or Event of Default may trigger enhanced cash management or reserves as reasonably required by Lender.

## ARTICLE X - MISCELLANEOUS

**10.1 Notices.** Notices shall be written and delivered to the addresses specified in the Loan Documents.

**10.2 Amendments.** No amendment or waiver is effective unless in writing and signed by the party to be charged.

**10.3 Governing Law.** Texas law governs, except to the extent federal law applies.

**10.4 Entire Agreement.** The Loan Documents constitute the entire agreement concerning the Loan and supersede prior discussions.

**10.5 Counterparts.** The Agreement may be executed in counterparts and by electronic signature.

## EXHIBIT B - DSCR METHODOLOGY

**1. Calculation.** DSCR equals NOI divided by Annual Debt Service and is expressed as a decimal ratio. Borrower shall provide written evidence and backup supporting its calculation. Lender may request additional documentation reasonably necessary to verify the ratio.

**2. Gross Income.** Gross income includes base rent and recurring reimbursements and other recurring property income actually received during the applicable trailing twelve-month period. Lender may annualize a newly commenced lease only if the tenant is in possession, paying contractual rent, and Lender accepts the annualization.

**3. Vacancy and Collections.** Lender may adjust income for known vacancy, delinquency, concessions, free rent, material lease termination rights or other collection risk where reasonably necessary to reflect sustainable property cash flow.

**4. Operating Expenses.** Operating Expenses include actual recurring property expenses and a reasonable management fee. A cost recorded as repairs or maintenance may be excluded as non-recurring only if Borrower demonstrates that the cost is extraordinary, non-recurring, not deferred maintenance, and Lender accepts the adjustment in writing or in its covenant determination.

**5. Excluded Items.** Depreciation, amortization, interest and principal payments are excluded from Operating Expenses. Capital expenditures, tenant improvements and leasing commissions are treated according to Lender's reserve methodology and shall not automatically increase NOI merely because Borrower characterizes them as capital.

**6. Lender Determination.** Covenant compliance is determined by Lender after review of the Compliance Certificate and supporting information. Acceptance of a prior calculation does not waive application of the Loan Documents in a later period.

## EXHIBIT C - FORM OF COMPLIANCE CERTIFICATE

Borrower shall certify the applicable reporting period; gross property income; permitted adjustments; Operating Expenses; Net Operating Income; Annual Debt Service; calculated DSCR; required DSCR; and whether Borrower believes it complies. Borrower shall identify material adjustments and attach supporting schedules.

BORROWER:
CEDAR GROVE MARKETPLACE LLC

By: _____
Michael R. Dalton, Managing Member

LENDER:
TRISTATE CAPITAL BANK

By: _____
Authorized Officer